

PRESS RELEASE

15.11.2022

Minutes on Refinancing Rate of November 1, 2022

The Central Bank Board Meeting of November 1, 2022 attended by Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan and Hovhannes Khachatryan, and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, and Levon Sahakyan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of November 1, 2022. The inflation, external environment, and real, fiscal, financial and monetary sector developments were discussed.

Current developments in the external sector were addressed. It was noted that the trends of low economic activity and high inflation persist in the main partner countries of Armenia in the third quarter. However, while the high inflation in the USA is mainly impacted by the demand factors, the inflation in the European Union is largely determined by supply factors, i.e. the increased energy prices. In Russia, the negative effects of the partial military mobilization on demand were of a temporary nature, which was mostly offset by increased government spending. Uncertainties related to the latter carry significant inflation risks. In the meantime, some recovery in production chains and lower transportation costs are observed in the global economy, but risks associated with supply chain disruptions still persist. Under these circumstances, the central banks of advanced countries continue to significantly tighten monetary conditions, thus curbing demand. Consequently certain decrease in prices are observed in the international commodity and capital-financial markets, which contributes to the mitigating of the global inflationary environment. Nevertheless, inflation rates remain above the targets in partner countries of the Republic of Armenia, and weak inflationary effects on the Armenian economy from the external environment are likely.

The Board discussed the developments in Armenia's economy stating that high economic activity persisted also in the third quarter of 2022, owing mainly to the considerable growth of the services sector. It was noted that external demand prevails among the factors that determine high economic growth, which is further contributed largely by continuously growing inflow of international visitors and remittances to Armenia. This is especially reflected by positive developments in the field of accommodation and food services, the improvement in the external balance position and the dram appreciation. The latter is also supported by a notable increase in exports in IT and manufacturing industries. At the same time, higher demand leads to the heating of labor market, expanding of headline inflationary environment, and preserving high inflationary expectations. In such circumstances, implementation of a coordinated contractionary fiscal and monetary policies is important:

The Board reviewed the developments in the Armenian financial market, admitting that in the third quarter the short-term market rates have shaped around the Central Bank's policy rate. Driven by the significant inflow of financial transfers from abroad and faster export developments, the the supply of

foreign currency grew in foreign exchange market of the Republic of Armenia in the third quarter, contributing in further appreciation of the dram. It was recorded that the large inflow of foreign currency had surpassed, in certain episodes, Armenia's foreign currency market absorption capacity, creating risks to market disruption, thus with the Central Bank of Armenia reacting to the situation by purchasing foreign currency and helping financial markets go back to normal functioning.

The inflation developments were also presented to the Board, stating that a 0.6% inflation was recorded in September 2022 as opposed to a 0.1% deflation in the same month last year. During the month inflation was fueled mainly by service, non-food and food price increases of 0.9%, 0.5% and 0.4%, respectively. **As a result of these changes, the 12-month inflation increased to 9.9% at the end of the month. The 12-month core inflation also increased, amounting to 10.5%.** It was also noted that despite some weakening of the inflationary effects from the external sector as well as the deflationary contribution of the dram appreciation, the inflation environment keeps on expanding and inflationary expectations remain high because of a considerably high demand in the domestic economy as a result of the large-scale inflow of international visitors and tourists.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board began addressing the macroeconomic scenarios and monetary policy directions, and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation, the Forecasting Team provided the Board with scenarios for upcoming economic outlooks, including appropriate monetary policy actions. According to the assessment by Board members, there are impulses from the external sector pointing to the expected weakening of inflationary effects and, on the other hand, the positive high demand would significantly contribute to the expansion of the inflationary environment. Therefore, highlighting the priority of unfolding of the possible inflationary scenario and managing of inflationary risks under it, Board members reckoned that consistent tightening of the monetary policy would further be needed. Some members of the Board believed that with such high demand and inflation, inflationary risks from the labor market also increase significantly, so raising the policy rate in a larger step would prove more effective. As a result, the **Board of the Central Bank of Armenia decided in a majority vote to raise the refinancing rate by 0.5 pp.** The Board of the CBA considered that the relatively contractionary monetary policy and the dram appreciation will gradually contribute to curbing demand and reducing inflationary expectations. The Board will also be committed in taking adequate measures to stabilize inflation and neutralize any risk of deanchoring of inflation expectations. The Board also estimated that implementation of a contractionary fiscal policy by the Armenian Government would be needed in order to maintain an overall macroeconomic stability. Under the presented monetary policy scenario, the 12-month inflation will gradually decrease and stabilize around the 4% target in the mid-term horizon.

The Board of the Central Bank estimated that the risks of inflation deviating from the projection path are mostly balanced. In the case of risks emerging in any direction, the Board will adequately react and ensure the goal of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

Deciding on the interest rate

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On Setting Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia, and Press Release on Refinancing Rate

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on “Central Bank of the Republic of Armenia”, and clauses of the Republic of Armenia Law on “Normative Regulations”, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 10.5%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 12.0%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 9.0%.
4. Approve the press release on refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank of the Republic of Armenia

November 1, 2022

c. Yerevan

At the November 1, 2022 meeting, the Board of the Central Bank of Armenia (CBA) decided to raise the refinancing rate by 0.5 percentage points, setting it to 10.5%.

In September, 2022, the 12-month inflation rose amounting to 9.9%. The 12-month core inflation also increased, reaching 10.5%.

Slowing trends of economic activity are observed in the global economy. The central banks of advanced countries continue to significantly tighten monetary conditions. This is expressed by a certain drop in prices in international commodity markets, however, headline inflation in the main partner countries of Armenia is still high. Notwithstanding certain recovery in supply chains, risks related to their disruptions in individual markets remain. As a result, weak inflationary effects on the Armenian economy from the global economy are expected.

In the third quarter of 2022, the trends of high activity in the Armenian economy are persisting. The economic growth primarily bears the positive effects of external demand, reflected as a significant increase in the services sector. Continued increase in the inflow of international visitors and money transfers from the Russian Federation contributes to the expanding of demand. This is also expressed in the improvement in Armenia's external balance position and dram exchange rate appreciation. High demand also contributes to the heating of labor market, the expanse of overall inflationary environment and persistence of high inflation expectations. In current circumstances, the conduct of contractionary and coordinated fiscal and monetary policy is important.

In the current situation, **the Board of the CBA finds it appropriate to raise the policy rate.** A relatively tightening monetary policy and the dram appreciation will gradually contribute to containing demand and reducing inflationary expectations. The Board of the CBA will be consistent in taking adequate actions to stabilize inflation and absorb any risk of de-anchoring inflation expectations. In accordance with the monetary policy scenario, the 12-month inflation will gradually decrease and stabilize around the 4% target in the medium run.

The Board of the CBA estimates that the risks of inflation deviating from the projected path are mainly balanced; should such risks materialize in either direction, the CBA will respond accordingly to fulfil of the price stability objective.

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